Strategic Report to the Chief Executive, Games Workshop Group PLC

Vedant Audichya · July 2026
Individual report, sole author

Individual strategic report using company disclosures, three diagnostic interviews and two bounded industrial analogues.

MS828 Strategic Modelling and Management · MSc Business Analysis and Consulting

THE QUESTION

A partner-led media hit changes when and where demand arrives. Is Games Workshop's exposure a production capacity problem, or something the accounts cannot see?

1 The exposure is not the one the numbers suggest

The problem is not proven production insufficiency. It is an unmeasured ability to convert partner-timed media attention into repeat hobby participation. Filings report performance but not media-attributed retention, so the gap is in the measurement, not the factory.

2 The resource system is genuinely hard to copy, and that is also the risk

IP, Nottingham design and manufacturing, retail teaching and community practice developed together, which makes replication difficult and the source of value causally ambiguous. The same tight coupling becomes a rigidity when attention concentrates faster than product mix and teaching can adjust.

3 Strong returns are evidence of value capture, not proof of its cause

Core return on capital employed of 191% and core operating margin of 37.5% across 575 stores, with 79% of core sales outside the UK. Licensing generated £49.5m operating profit on £52.5m revenue, but that stream depends on IP developed in the core business.

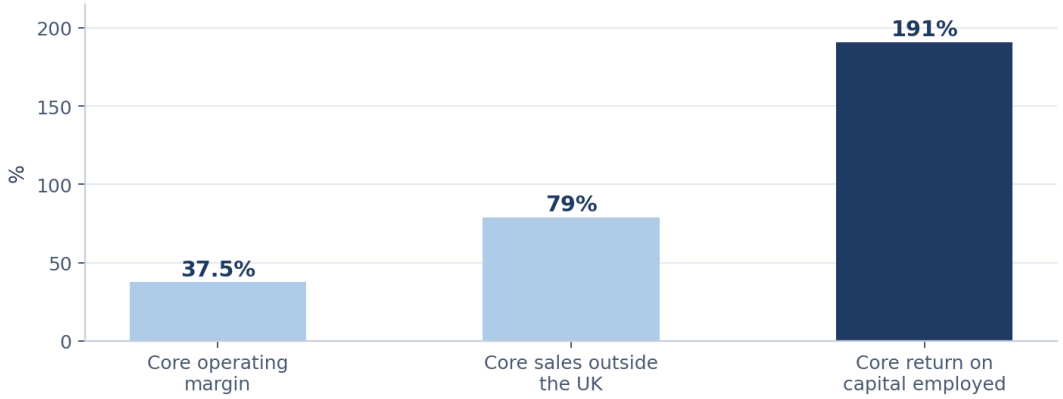
4 The recommendation is staged, with a defined trigger for the expensive move

Pilot a media-to-hobby conversion system, continue selective Nottingham expansion, and defer US manufacturing. Localisation is triggered only when durable North American conversion coincides with persistent access failure, and the staged policy holds across all four scenario environments.

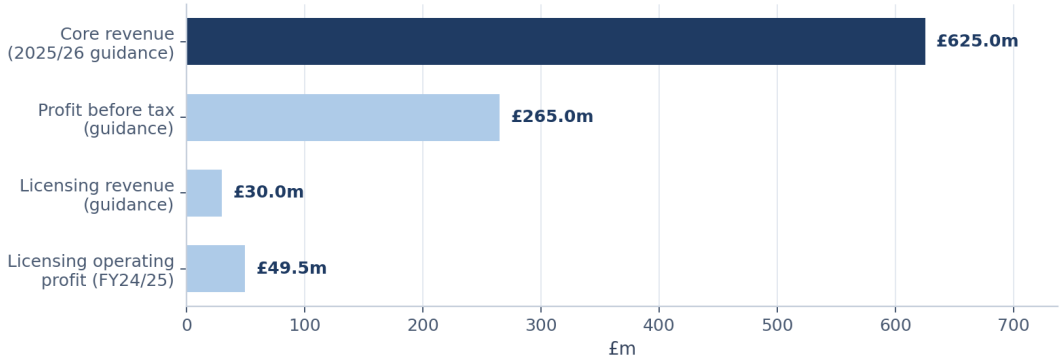
LIMITATIONS, AND WHAT WOULD CHANGE THE ANSWER

The central claim, that conversion rather than capacity is the binding constraint, cannot be established from public filings, which is precisely the argument being made. Three anonymised Glasgow-area perspectives are diagnostic, not representative, and the two industrial analogues test whether a mechanism is plausible rather than how large it is. Non-substitutability is left as a qualified claim because no public evidence establishes an equivalent resource bundle either way.

Exceptional value capture, but the cause is not disclosed



A high-return core, and a licensing stream that depends on it



Built with Resource-based view (static and dynamic) · scenario analysis · diagnostic interviews · industrial analogues

Delivered strategic diagnosis · three assessed options · four-scenario test · staged policy with localisation trigger